

8 Governance Quiz

1. What is governance?

- A) The processes and institutions through which collective decisions are made and implemented
- B) Only criminal prosecution
- C) A machine-learning loss function
- D) A private preference

ANS:

2. Why is AI governance needed?

- A) AI has no external effects
- B) Private incentives may not adequately protect the public from societal risks
- C) Technology automatically supplies legitimate rules
- D) All actors have identical goals

ANS:

3. What is regulation?

- A) Voluntary behavior with no rules
- B) A descriptive model of preferences
- C) Rules backed by an authority that can monitor or enforce compliance
- D) Only technical documentation

ANS:

4. What is an externality?

- A) A cost fully paid by the decision maker
- B) An internal software module
- C) A benefit with no social effects
- D) A cost or benefit imposed on others outside a transaction

ANS:

5. What is regulatory capture?

- A) When regulated interests gain excessive influence over their regulator
- B) When a regulator gathers evidence
- C) When a law applies internationally
- D) When a standard becomes open source

ANS:

6. What is information asymmetry in AI governance?

- A) Regulators always know more than developers
- B) Developers may know much more about systems and risks than regulators or the public
- C) All information is equally distributed
- D) Models contain no private information

ANS:

7. What is a command-and-control regulation?

- A) A market price only
- B) A voluntary pledge
- C) A rule specifying required or prohibited conduct
- D) A consumer review

ANS:

8. What is a market-based governance instrument?

- A) A fixed technical architecture
- B) A secret company policy
- C) A complete ban on measurement
- D) A tax, subsidy, permit, or liability rule that changes incentives

ANS:

9. What is the purpose of liability?

- A) Assign responsibility and costs for harms, thereby influencing incentives
- B) Guarantee no accident can occur
- C) Replace every safety standard
- D) Hide damages from courts

ANS:

10. What is a technical standard?

- A) A philosophical theory
- B) A documented specification for processes, performance, or interoperability
- C) A political campaign
- D) A model's private reward

ANS:

11. What is auditing in AI governance?

- A) Training a model from scratch
- B) Releasing model weights
- C) Systematic examination of a system, process, or claims against criteria
- D) Eliminating records

ANS:

12. Why can voluntary industry self-regulation be insufficient?

- A) Firms never understand their systems
- B) Voluntary standards are always illegal
- C) Self-regulation guarantees strict enforcement
- D) Competitive incentives may reward weak commitments or safety-washing

ANS:

13. What is regulatory lag?

- A) Rules and institutions adapt more slowly than technological change
- B) A delay in model inference
- C) A pause between training batches
- D) A reduction in network bandwidth

ANS:

14. What does the precautionary principle support?

- A) Waiting for complete proof of harm in every case
- B) Taking protective action when potential harm is serious despite uncertainty
- C) Ignoring low-probability catastrophe
- D) Maximizing deployment speed

ANS:

15. What is a regulatory sandbox?

- A) An unregulated global release
- B) A permanent ban
- C) A controlled environment for testing innovations under oversight
- D) A model evaluation dataset only

ANS:

16. Why is international coordination important for AI?

- A) AI risks remain inside one local network
- B) Countries cannot affect each other
- C) Domestic rules automatically bind every state
- D) AI development and harms can cross borders, while competition can undermine unilateral safeguards

ANS:

17. What is a governance legitimacy concern?

- A)** Whether decision makers have justified authority and affected people have meaningful representation
- B)** Whether a GPU is fast enough
- C)** Whether a model has many parameters
- D)** Whether a dataset is compressed

ANS:

18. What is policy evaluation?

- A)** Assuming a rule works because it was announced
- B)** Assessing whether a policy achieves intended outcomes and creates unintended effects
- C)** Measuring only implementation cost
- D)** Preventing policy revision

ANS:

19. What does adaptive governance emphasize?

- A)** Rules that never change
- B)** No monitoring after adoption
- C)** Learning, feedback, and revision as technology and evidence evolve
- D)** Replacing institutions with one algorithm

ANS:

20. What is a key goal of multi-level AI governance?

- A)** Give one actor absolute control
- B)** Remove all local knowledge
- C)** Prevent any international role
- D)** Coordinate organizational, national, and international mechanisms with complementary strengths

ANS: